

The pipe appeared, and it looked good. It showed on the weekly chart after the stock had gone down for a year, suggesting a turn in the stock was overdue. Fundamentals of the company said they had a book value of over \$12 a share with the stock selling at \$4. So it was a good value play (based on that one measure). The industry was weak (poor relative strength versus other industries).

The pipe confirmed, and I bought into the stock.

The stock eased lower, so I bought more to average down. Even with two buys, it was a small position for me.

Eight months later, my notes are talking about bankruptcy, so I sold the position for a loss.

What happened to the stop? It was right there, in my notes. Because the stock was inexpensive, volatility is often high, so I had a stop set for a potential loss of 18%. That's significantly higher than the 8% or less I like to use. And beside the stop figure appeared these fateful words: "Stop used: None." That means I never placed the stop.

How big was the loss? Answer: 72%. Wow. That's heart-stopping. But on a dollar basis, it was very small because I kept the position size down.

- Lesson: If the loss reaches 10%, then *consider* selling (reevaluate the situation and the reasons for buying). A drop of 20% or more means the stock is in its own bear market and it's going down. It should be an automatic sell.
- Lesson: Not placing a stop-loss order because the size of the loss is too big means the trade should be abandoned anyway.

Sample Trade

One way to learn how to trade pipe bottoms is to review what Peter did. Peter is one of the more intelligent software engineers I know. Not only is he smart, but he is personable as well. He is very helpful and friendly unless management turns the screws and demands that work actually be done on time. Then the pressure seeps in and tempers flare. When the pressure gets too intense and Peter feels the need to take a break, he does not take a walk